

Best Places to Stash Your Cash

What do you do with money that you want to be able to access quickly when needed, such as your emergency fund? If you put it in a CD, you may incur penalties if you have to withdraw it early. If you mingle it with your checking account, you're more likely to dip into it. Your savings account may not earn a very good interest rate. Under your mattress or in your cookie jar are really not viable options. So where is the best place to stash your cash?

Checking and Savings Accounts

Savings often end up sitting in the checking account just because it's the easiest option. It's not a good idea, though. Savings should be segregated from your day-to-day spending money for several reasons, including the fact that it's much too easy to dip into your savings if they're mingled with your checking account. You'll also earn better interest in a nonchecking account.

Savings accounts, like checking accounts, are safe if the bank is FDIC-insured, and usually pay higher interest rates than checking accounts. Savings accounts are a good place to park some of your savings, but only as much as you would need in an emergency. Because savings-account interest rates may not keep up with the rate of inflation, you actually lose money in the long run.

Internet Bank Accounts

If you want to try for a higher yield, you might look at Internet bank accounts. One of the most attractive features of these accounts is the high interest rate they pay on deposits, plus they may have no minimum balance requirements. Keep in mind that it can be difficult to get cash out of these accounts; it may take a few days to electronically move money from your Internet bank account to your brick-and-mortar account. However, you may be able to get your cash via a check on the account or an ATM/debit card.